

IPOs usually make money in the first few days after the offering. Over time, however, these stocks tend to trail their IPO prices, often never returning to their original levels.

George ignores the statistics and probabilities by not considering that, in the long run, the PG stock will most likely incur losses rather than gains. This concept can be applied to many investment situations. There is a relatively easy way to analyze how an investor might fall prey to base-rate neglect. For example, what is the probability that person A (Simon, a shy, introverted man) belongs to Group B (stamp collectors) rather than Group C (BMW drivers)? In answering this question, most people typically evaluate the degree to which A (Simon) “represents” B or C; they might conclude that Simon’s shyness seems to be more representative of stamp collectors than BMW drivers. This approach neglects base rates, however: Statistically, far more people drive BMWs than collect stamps.

Similarly, George, our hypothetical investor, has effectively been asked: What is the probability that Company A (PharmaGrowth, the hot IPO) belongs to Group B (stocks constituting successful long-term investments) rather than Group C (stocks that will fail as long-term investments)? Again, most individuals approach this problem by attempting to ascertain the extent to which A appears characteristically representative of B or C. In George’s judgment, PG possesses the properties of a successful long-term investment rather than a failed one. Investors arriving at this conclusion, however, ignore the base-rate fact that IPOs are more likely to fail than to succeed.

Miniature Case Study Number 2: Sample-Size Neglect

Case Presentation. Suppose George revisits his favorite coffee shop the following week and this time encounters bowling buddy Jim. Jim raves about his stockbroker, whose firm employs an analyst who appears to have made many recent successful stock picks. The conversation goes something like this:

George: Hi, Jim, how are you?

Jim: Hi, George. I’m doing great! I’ve been doing superbly in the market recently.

George: Really? What’s your secret?

Jim: Well, my broker has passed along some great picks made by an analyst at her firm.